MARKET UPDATE

Searching for the right policy response to COVID-19

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12 March 2020

- Central banks around the world are providing coordinated action, with the latest easing by the ECB following the Fed and the BoE. Fiscal stimulus has been announced or seems to be in the works as well.
- But policy makers are struggling to halt the crisis of confidence. Consumers and investors feel they don't understand the virus enough to assess the impact on their lives and the economy, and hence naturally focus on the tail risks.
- Policy makers also struggle to channel their support to specific sectors and companies, and in time. Markets have started to worry that an extended COVID-19 episode could lead to more defaults and bankruptcies. While we do not expect severe broad-based credit market funding problems, we monitor the situation and believe spreads could remain under pressure for now.
- We still foresee a recovery in global growth in H2, but the market will continue to focus on risks, for now. And big market movements can create technical selling pressure. We continue to focus on resilience, and we believe it is still too early to add to overall risk exposure.

We are often asked when markets could start to stabilize, and we see three possibilities. The most solid support would come from a stabilization of the number of infections in Europe and the US, but this may take time. Secondly, policy support can help as well, but it needs to be quick, generous and effectively channeled to the people and companies that need it most. And lastly, investors could step in if they believe valuations have dropped excessively, and they are pricing in an overly bearish economic scenario. The problem with this last scenario, of course, is that we know too little about the virus to have a high degree of confidence in any economic forecast.

Policy support

The ECB stopped short of cutting rates, opting instead to increase the Quantitative Easing by €120bn across the rest of the year. They also put into place a number of measures to encourage and support bank lending to businesses. This included more favourable terms for the TLTROs (targeted long-term refinancing operations for banks) and lower bank capital requirements.

This follows the 50 basis points cut by the Fed during its emergency meeting, and we expect another 50bp on 18 March, and 50bp in April. The UK cut its rate by 50bp earlier this week as well, to 0.25%. And the UK provided a Term Funding scheme, intended to support SMEs by providing favourable funding conditions to banks that lend to them. The Fed moved to pour liquidity into the banking system with $500bn of one and three month repos over two days. They also switched the current purchase of Treasury bills, to the tune of $60bn/month, to Treasury bonds with a maturity profile similar to the outstanding stock of Treasuries held on their balance sheet.

Central bank action is clearly very generous, and it is coordinated – two positive characteristics. The liquidity measures also show that central banks can be inventive, and people who worry that central banks run out of tools just because the rates are close to zero may be underestimating them.

Still, the ECB measures in particular did not fully convince investors (the Fed measures were better received), in part because they are relatively blunt, generally benefiting the entire economy rather than specific industries or companies that most need them. Fiscal policies can be more targeted by industry and they can be more local. For example, in the UK, the government will provide guarantees on loans to struggling businesses. And in Europe, it seems that governments are preparing or have announced tax breaks for small businesses. Similar measures could follow in the US.

The crux, in our view, will be whether that money is channeled quickly to specific firms and sectors who need it. If we are right to assume that companies (especially in travel, hospitality, entertainment etc) will see a sharp loss in activity in the short term, and a recovery thereafter, the support is needed in the short term. Tax relief or other measures that only benefit them, say in 6 months, won't address their current liquidity issues. Improved access to cheap loans may be more effective (if, of course, the lender still is comfortable with the credit risk, or the loans are guaranteed).

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This is why some investors have started to worry about credit risk, driving credit spreads wider. Of course, the widening should be more pronounced in high yield than in investment grade. But we hold an underweight on both global high yield and investment grade, because of the potential for short term spread widening (and, in the case of investment grade, also because of its low absolute yield).

Credit risks

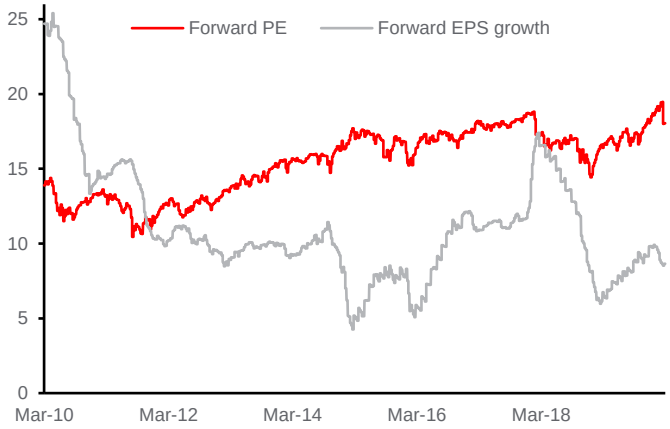
Companies generally don't default simply because their profits go down, but rather because they have a liquidity need at a time when they need to pay bills or refinance a loan or bond, and don't have access to adequate funding at that time. So what matters for investors when the economy is slow is, first, to look for companies with stable cash flows, and to be selective.

But it is also important to look at the cash balances and the timing of the funding needs. Corporate leverage has been rising in the US and Europe in recent years, but many of the corporates with a lot of debt also have large cash balances, and the two need to be netted out, in our view. Secondly, many corporates have extended their maturities of their loans and bonds, which means that they may only need to refinance their funding well after the COVID-19 crisis is behind us. These elements should keep the default rate from rising too sharply, especially outside of the US oil sector.

This still leaves the risk of rating downgrades, however: if profitability and liquidity ratios deteriorate because of the crisis, rating agencies may downgrade more companies. And that could lead to spread widening, especially if a company falls from BBB- to BB+ (i.e. from investment grade to high yield, as it could lead to technical selling pressure). Fortunately, rating agencies take a "through-the-cycle" methodology to credit ratings (i.e. downgrades are not typically driven by short-term disruptions to growth or business operations, it is more so the trajectory of net leverage in the medium term). There are quite a few companies in the BBB area, but most of them are rated BBB+, providing some cushion before they are downgraded to HY status. In addition, BBB-rated companies can decide to decrease CapEX, cut dividends and share-buybacks to avoid negative rating actions if needed. This is one of the reasons why one needs to be selective when buying dividend stocks – although in the low yield environment, this strategy will remain popular.

Looking at other areas of potential stress, we note that the housing market is much healthier than before the credit crisis, and that areas of increased delinquencies (e.g. student loans) are much smaller than the housing markets. As a result, we do not foresee a credit crisis developing, especially as the banking sector is much better capitalized than it was at the time. That does not mean that corporate bond risk is irrelevant: the longer the crisis lasts, the more mainstream and large companies could see their cash flow impacted. And spread widening (or any sharp move in other markets) could lead to losses in some hedge funds, leading to more selling pressure. The phenomenon therefore merits our continued attention.

Equity market pricing and consensus earnings expectations



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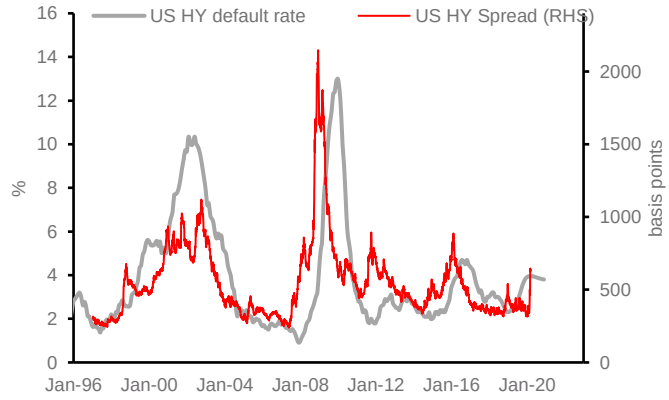
If the historical pattern holds, US High yield spreads now price in at least 4% defaults, above Moody's 3.8% forecast



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When will riskier assets be 'cheap enough' to buy them?

We doubt that there will be many investors who will step into risk assets simply because they have corrected a lot. Still, it is worth trying to assess what markets are currently pricing in.

- Money markets price in another 100bp of cuts by the Federal Reserve by the end of the year. We think this is fair (we actually think they will cut that much by April already). But the Fed is not only acting based on its US economic view, but also to stabilize global market sentiment. Hence, we don't think we can read much into this.
- Treasury yields are extremely low, with most of the curve now yielding less than 1%. When equities are falling more than 5% per day, people are just buying Treasuries to get their money back, and the yield is not very relevant to them. Still, the 10-year inflation breakeven only stands at 0.9%, which implies a very weak economic outlook. Assuming that the Fed will be so far away from its 2% inflation target for the next 10 years seems too bearish to us.
- We show current equity market pricing and the earnings consensus in the chart below. Analysts tend to be somewhat slow to adjust their earnings expectations, and hence, the P/E ratio falls quickly during a market

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correction, after which the EPS is adjusted. The current EPS growth forecast by analysts is 8.6% for the US, but with analysts likely to catch up with the market in coming weeks, it seems that the market is already assuming US EPS growth of low single digits for the coming 12 months.

- Lastly, there is a strong correlation between the global default rate and high yield spreads (although of course spreads are dependent on other factors too). But as we discussed before, many of the defaults we will see will probably be in specific industries, such as energy and travel. The default rate outside these sectors will very much depend on the extent of the duration and spreading of the virus. In fact, for some oil consuming companies, the lower oil price could be a net positive.

Timing is very hard to do, especially with the virus determining a lot for us, and knowledge about COVID-19 still being relatively limited. As a result, we find it impossible to set a level for markets at which one can become comfortable. Instead we continue to focus on building resilient portfolios and managing, mitigating and hedging the short term risks.

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Risk Disclosures

Risks of investment in fixed income
There are several key issues that one should consider before making an investment into fixed income. The risk specific to this type of investment may include, but are not limited to:

Credit risk
Investor is subject to the credit risk of the issuer. Investor is also subject to the credit risk of the government and/or the appointed trustee for debts that are guaranteed by the government.

Risks associated with high yield fixed income instruments
High yield fixed income instruments are typically rated below investment grade or are unrated and as such are often subject to a higher risk of issuer default. The net asset value of a high-yield bond fund may decline or be negatively affected if there is a default of any of the high yield bonds that it invests in or if interest rates change. The special features and risks of high-yield bond funds may also include the following:
• Capital growth risk - some high-yield bond funds may have fees and/ or dividends paid out of capital. As a result, the capital that the fund has available for investment in the future and capital growth may be reduced; and
• Dividend distributions - some high-yield bond funds may not distribute dividends, but instead reinvest the dividends into the fund or alternatively, the investment manager may have discretion on whether or not to make any distribution out of income and/ or capital of the fund. Also, a high distribution yield does not imply a positive or high return on the total investment.
• Vulnerability to economic cycles - during economic downturns such instruments may typically fall more in value than investment grade bonds as (i) investors become more risk averse and (ii) default risk rises.

Risks associated with subordinated debentures, perpetual debentures, and contingent convertible or bail-in debentures
• Subordinated debentures - subordinated debentures will bear higher risks than holders of senior debentures of the issuer due to a lower priority of claim in the event of the issuer's liquidation.
• Perpetual debentures - perpetual debentures often are callable, do not have maturity dates and are subordinated. Investors may incur reinvestment and subordination risks. Investors may lose all their invested principal in certain circumstances. Interest payments may be variable, deferred or canceled. Investors may face uncertainties over when and how much they can receive such payments.
• Contingent convertible or bail-in debentures - Contingent convertible and bail-in debentures are hybrid debt-equity instruments that may be written off or converted to common stock on the occurrence of a trigger event. Contingent convertible debentures refer to debentures that contain a clause requiring them to be written off or converted to common stock on the occurrence of a trigger event. These debentures generally absorb losses while the issuer remains a going concern (i.e. in advance of the point of non-viability). "Bail-in" generally refers to (a) contractual mechanisms (i.e. contractual bail-in) under which debentures contain a clause requiring them to be written off or converted to common stock on the occurrence of a trigger event, or (b) statutory mechanisms (i.e. statutory bail-in) whereby a national resolution authority writes down or converts debentures under specified conditions to common stock. Bail-in debentures generally absorb losses at the point of non-viability. These features can introduce notable risks to investors who may lose all their invested principal.

Changes in legislation and/or regulation
Changes in legislation and/or regulation could affect the performance, prices and mark-to-market valuation on the investment.

Nationalization risk
The uncertainty as to the coupons and principal will be paid on schedule and/or that the risk on the ranking of the bond seniority would be compromised following nationalization.

Reinvestment risk
A decline in interest rate would affect investors as coupons received and any return of principal may be reinvested at a lower rate.
Changes in interest rate, volatility, credit spread, rating agencies actions, liquidity and market conditions may significantly affect the prices and mark-to-market valuation.

Risk disclosure on Dim Sum Bonds
Although sovereign bonds may be guaranteed by the China Central Government, investors should note that unless otherwise specified, other renminbi bonds will not be guaranteed by the China Central Government.
Renminbi bonds are settled in renminbi, changes in exchange rates may have an adverse effect on the value of that investment. You may not get back the same amount of Hong Kong Dollars upon maturity of the bond.
There may not be active secondary market available even if a renminbi bond is listed. Therefore, you need to face a certain degree of liquidity risk.
Renminbi is subject to foreign exchange control. Renminbi is not freely convertible in Hong Kong. Should the China Central Government tighten the control, the liquidity of renminbi or even renminbi bonds in Hong Kong will be affected and you may be exposed to higher liquidity risks. Investors should be prepared that you may need to hold a renminbi bond until maturity.

Risk disclosure on Emerging Markets
Investment in emerging markets may involve certain, additional risks which may not be typically associated with investing in more established economies and/or securities markets. Such risks include (a) the risk of nationalization or expropriation of assets; (b) economic and political uncertainty; (c) less liquidity in so far of securities markets; (d) fluctuations in currency exchange rate; (c) higher rates of inflation; (f) less oversight by a regulator of local securities market; (g) longer settlement periods in so far as securities transactions and (h) less stringent laws in so far the duties of company officers and protection of Investors.

Risk disclosure on FX Margin
The price fluctuation of FX could be substantial under certain market conditions and/or occurrence of certain events, news or developments and this could pose significant risk to the Customer. Leveraged FX trading carry a high degree of risk and the Customer may suffer losses exceeding their initial margin funds. Market conditions may make it impossible to square/close-out FX contracts/options. Customers could face substantial margin calls and therefore liquidity problems if the relevant price of the currency goes against them.

Currency risk – where product relates to other currencies
When an investment is denominated in a currency other than your local or reporting currency, changes in exchange rates may have a negative effect on your investment.

Chinese Yuan ("CNY") risks
There is a liquidity risk associated with CNY products, especially if such investments do not have an active secondary market and their prices have large bid/offer spreads.

CNY is currently not freely convertible and conversion of CNY through banks in Hong Kong and Singapore is subject to certain restrictions. CNY products are denominated and settled in CNY deliverable in Hong Kong and Singapore, which represents a market which is different from that of CNY deliverable in Mainland China.
There is a possibility of not receiving the full amount in CNY upon settlement, if the Bank is not able to obtain sufficient amount of CNY in a timely manner due to the exchange controls and restrictions applicable to the currency.

Illiquid markets/products
In the case of investments for which there is no recognised market, it may be difficult for investors to sell their investments or to obtain reliable information about their value or the extent of the risk to which they are exposed.

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